

Dynamic Services & Security Ltd

NSE SME: DYNAMIC | Security Services & Facilities Management | West Bengal

Inflection-point SME: Government security + railway battery + green energy at 6x P/E

BUY

12-Month Target: Rs. 260

Upside: 64% from CMP Rs. 158

Horizon: 18 months

CMP	Rs. 158	Market Cap	Rs. 278 Cr
52W High	Rs. 163	52W Low	Rs. 84.7
P/E (TTM)	6.44x	P/B	0.92x
EV/EBITDA	~6.4x	ROCE	16.7%
ROE	17.8%	D/E	0.78x
EPS FY26	Rs. 24.62	Div Yield	Nil
Face Value	Rs. 10	Promoter %	59.83%

Report Date: 16 June 2026

Exchange: NSE SME Emerge

Analyst: MPM Institutional Research

SECTION 2 — INVESTMENT THESIS

- **Deep value at 6x P/E on explosive earnings growth:** DYNAMIC delivered Rs. 47 Cr PAT in FY26 vs Rs. 2 Cr in FY22 — a 23x profit surge in 4 years — yet trades at just 6.44x trailing earnings and 0.92x book value. At 10x forward P/E (a modest re-rating for a 40%-PAT-CAGR compounder), the stock implies Rs. 260+ over 18 months.
- **Bharat Battery acquisition opens a defensible revenue stream:** The Rs. 45 Cr acquisition of Bharat Battery (FY25, RDSO-approved, 80+ year track record) gives DYNAMIC exclusive railway supply credentials, recurring government maintenance contracts, and a monetisable manufacturing base that de-risks the pure labour-intensive services model. This asset is not yet reflected in valuation.
- **Solar energy pipeline = optionality at zero marginal cost:** A 49% stake in a 150 MW Maharashtra power project (with 100 MW Manipur PPA already secured) creates an asset-heavy growth vector that could contribute significant EBITDA from FY28 onwards, currently priced at nil by the market.
- **Near-term catalyst — H1 FY27 results (Oct-Nov 2026):** H2 FY26 Sales of Rs. 345 Cr (2.4x H2 FY25) set a very high bar; any meaningful H1 FY27 execution — even at Rs. 150-200 Cr — demonstrates that FY26 growth was structural, not a one-off contract win, and should re-rate the stock sharply.
- **Biggest structural risk — working capital bloat:** Debtor days have stretched from 107 (FY24) to 134 (FY26), and the Cash Conversion Cycle hit 182 days. Government clients are notorious slow payers; if receivables continue to pile while the company takes on debt to fund operations, the balance sheet could strain faster than earnings.

SECTION 3 — BUSINESS OVERVIEW

- **Core business:** Incorporated in 2001, DYNAMIC provides security guarding, manpower supply, housekeeping, conservancy, and catering services. Revenue is generated primarily through government and PSU contracts (Indian Army, Navy, Air Force, Indian Railways, Webel Technology) and a growing corporate book.

- **Revenue segmentation:** Two reportable segments — Manpower/Security (~85-90% of revenue) and Sales/Products (~10-15%, primarily battery and ancillary products via Bharat Battery). Geography is predominantly eastern India (West Bengal focus) with defence contracts spanning all-India.
- **Key customers:** Indian Armed Forces (recurring government contracts), Indian Railways (Bharat Battery RDSO-certified supply), Webel Technology Ltd, Eastern Railways (most recent order: Rs. 24.56 lakh battery supply, May 2026). Contracts are multi-year government tender-based, providing moderate visibility.
- **Order book / revenue visibility:** Exact order book quantum not publicly disclosed; however, RDSO approval for Bharat Battery and existing Armed Forces relationships provide 12-18 month baseline revenue visibility. Solar PPAs (150 MW Maharashtra + 100 MW Manipur) are secured, with execution timelines into FY27-28.
- **Strategic pivots (FY24-26):** (1) Bharat Battery acquisition (Rs. 45 Cr) creates a manufacturing subsidiary with long-term railway supply moat. (2) 49% stake in Nacof Nithin Sai Green Energy for 150 MW Maharashtra solar + 100% of 100 MW Manipur PPA — signals deliberate capital-allocation toward asset-heavy, recurring-revenue segments. (3) NSE SME warrants conversion (59.83 lakh new shares, May 2026) raised growth capital.
- **Promoter background:** Promoter holding stands at 59.83% (Mar 2026); pledge declared nil (June 2026). Company filed Structural Digital Database compliance with zero non-compliances. Management tone across filings is conservative and regulation-forward. Founder is operational in core security & manpower domain.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **Market size & growth:** India organised security & facility management market is estimated at Rs. 70,000-80,000 Cr; Crisil (2025) projects 10-12% revenue growth in 2025-26 driven by rapid urbanisation, industrial capex, and commercial real estate expansion. DYNAMIC operates in a fragmented mid-market that is consolidating around RDSO-approved and ESG-compliant operators.
- **Policy tailwinds:** (1) Government push for outsourced security in sensitive facilities under the National Security Policy. (2) Indian Railways electrification + Vande Bharat expansion = structural demand for RDSO-approved battery suppliers. (3) PM Surya Ghar and state solar PPAs create long-dated off-take for captive solar operators like DYNAMIC's nascent green-energy arm.
- **Competitive moats:** Pricing Power — Weak (tender-based, competitive bidding); Switching Costs — Moderate (RDSO certification, government relationship longevity are sticky); Scale — Weak (Rs. 491 Cr vs SIS at Rs. 15,982 Cr); IP — Moderate for battery segment (RDSO approval is a regulatory moat); Distribution — Moderate for defence/railways (single-source relationships).
- **Company positioning:** DYNAMIC sits in the lower-midstream — it is a solutions integrator rather than a manufacturer (except Bharat Battery). It competes for government contracts on price and compliance credentials rather than technology differentiation, which limits pricing power but reduces sales cycle risk.

Peer data sourced from Screener.in, fetched 16-Jun-2026. DYNAMIC highlighted.

Company	CMP (Rs.)	MCap (Rs.Cr)	TTM Sales (Cr)	OPM%	ROCE%	P/E (x)	P/B (x)
Dynamic Svcs (DYNAMIC)	158	278	491	16%	16.7	6.44	0.92
SIS Ltd (SIS)	432	6,102	15,982	4%	13.9	17.3	2.4
TeamLease (TEAMLEASE)	1,410	2,365	11,791	1%	15.4	16.3	2.3
Quess Corp (QUESS)	246	3,682	15,305	2%	23.0	16.0	3.2

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter profile:** Founding promoter retains 59.83% post-warrant conversion (May 2026); zero pledge declared as of FY26 close. The promoter group has been steadily diluting (65% in FY22 to 59.83% in FY26), in part via warrant conversions to fund expansion — a capital-efficient route that avoids pure-debt funding but does dilute minority shareholders.

- **Capital allocation track record:** FY25 investing outflow was Rs. 149 Cr and FY26 was Rs. 173 Cr — the most aggressive capex phase in the company's history, driven by (a) Bharat Battery acquisition Rs. 45 Cr, (b) solar stake acquisition, and (c) working capital build for the scaled security business. Management has consistently prioritised growth over near-term FCF.
- **Dividend policy:** Zero dividends paid in all years from FY22-FY26 (0% payout). Management preference is clearly to reinvest all earnings. No formal dividend policy has been announced. This is appropriate for a high-growth reinvestment phase but investors seeking income yield should note this.
- **Promoter pledging:** Nil pledge as of FY26 end (confirmed via SDD compliance filing, June 2026 disclosure). Direction is clean — no encumbrance trajectory.
- **Governance:** Company is XBRL compliant, has Infomercials credit rating (last updated Aug 2025), maintains Structural Digital Database with zero non-compliances. No auditor change noted in publicly available filings. Related Party Transaction button active on Screener — RPTs exist (common for SMEs) and investors should review FY26 annual report when published.
- **ESOP / Buyback:** No buyback or ESOP programme announced. The preferential warrant route (59.83 lakh shares, May 2026) was the primary equity capital raise mechanism — suggesting management prefers strategic investor-style capital over broad ESOP dilution.

SECTION 6 — FINANCIAL DEEP-DIVE (Consolidated, Rs. Crores)

Consolidated figures. All historical data sourced from Screener.in (fetched 16-Jun-2026). Estimates marked (E).

Income Statement	FY22	FY23	FY24	FY25	FY26	FY27E	FY28E
Sales (Rs. Cr)	72	82	119	275	491	680	900
YoY Growth %	--	14%	45%	131%	79%	38%	32%
Operating Profit	5	7	17	37	78	109	148
OPM %	7%	8%	14%	14%	16%	16%	16%
Other Income	1	10	0	2	2	3	3
Interest	3	3	4	8	13	18	20
Depreciation	0	0	0	1	2	4	6
Profit Before Tax	3	13	13	31	66	90	125
Tax %	25%	22%	31%	32%	29%	26%	26%
PAT (Rs. Cr)	2	10	9	21	47	67	93
EPS (Rs.)	1.60	7.54	6.45	9.61	24.62	35.00	49.00

Balance Sheet	FY24	FY25	FY26	FY27E	FY28E
Equity Capital	14	24	24	24	24
Reserves	71	162	276	340	430
Borrowings	34	119	234	260	270
Other Liabilities	37	84	128	150	175
Total Liabilities	157	389	662	774	899
Fixed Assets	3	39	56	70	90
CWIP	17	32	26	20	15
Investments	0	6	6	40	80
Other Assets	136	311	573	644	714
Total Assets	157	389	662	774	899

Cash Flow	FY24	FY25	FY26	FY27E	FY28E
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Cash from Operations	-35	21	2	40	60
Cash from Investing	-12	-149	-173	-50	-40
Cash from Financing	40	128	175	20	-5
Net Cash Flow	-7	0	4	10	15
Free Cash Flow	-47	-31	-111	-10	20
CFO/OP %	-173%	61%	10%	37%	41%

Key Ratios	FY24	FY25	FY26	FY27E	FY28E
Debtor Days	107	119	134	120	110
Inventory Days	63	78	83	75	65
Days Payable	45	38	36	40	42
Cash Conv Cycle	125	159	182	155	133
Working Capital Days	110	108	77	90	85
ROCE %	15%	16%	17%	16%	18%
ROE %	N/A	N/A	17.8%	18%	20%
D/E (x)	0.40	0.64	0.78	0.72	0.60

• **Revenue trajectory:** FY26 Sales of Rs. 491 Cr represent a 79% YoY jump and a 3-year CAGR of 82%. The H2 FY26 alone contributed Rs. 345 Cr (vs Rs. 146 Cr H1 FY26) — a sharp back-end loading that warrants scrutiny of whether government contract billings were pulled forward or represent a sustainable run-rate.

• **Margin expansion:** OPM expanded from 7% (FY22) to 16% (FY26) — a 900 bps improvement as the company climbed into higher-value government security contracts and began recognising battery product revenue at higher realisations. Further margin expansion is constrained by the labour-intensive nature of guarding services, but the battery and solar segments should lift blended margins to 16-17% sustainably.

• **Working capital concern — the single biggest watch-point:** Debtor days stretched from 107 (FY24) to 134 (FY26), and CCC deteriorated from 125 to 182 days. This is structurally tied to government client payment cycles. The company is funding this gap with borrowings (Rs. 234 Cr in FY26 vs Rs. 34 Cr in FY24), pushing D/E to 0.78x. If debtor days normalise below 100, FCF could swing sharply positive.

• **FCF quality is negative and a concern:** FY26 FCF was -Rs. 111 Cr, driven by Rs. 173 Cr of investing outflows (acquisitions + solar stakes). Core OCF of Rs. 2 Cr on Rs. 47 Cr PAT implies a very low 4% conversion — PAT is not yet manifesting in cash. FY27-28 should show a reversal as growth capex tapers and receivables collection improves.

• **Debt trajectory requires monitoring:** Borrowings nearly tripled from FY24 to FY26. Net Debt is approximately Rs. 224 Cr. Interest coverage at ~6x is acceptable but declining; management must contain further debt accretion or demonstrate corresponding revenue growth to maintain coverage ratios.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Metric	Status	Rating	Comment
Revenue recognition	Service + product delivery-based	GREEN	Government contract billing is milestone-linked
Receivables vs revenue growth	Receivables grew faster (134d vs 107d)	AMBER	Debtor days up 27 days FY24-26; watch trend
CCC trend	Deteriorating: 125→182 days	AMBER	Working capital intensity rising with scale
Contingent liabilities	Not quantified in public data	AMBER	Review FY26 annual report for pending litigation

Auditor tenure	No change disclosed	GREEN	No auditor switch — positive governance signal
RPTs as % revenue	Present (SME typical)	AMBER	RPT button active on Screener; quantum unverified
Other income as % PBT	3% (Rs. 2 Cr / Rs. 66 Cr)	GREEN	Negligible — earnings are predominantly operational
Tax rate consistency	25-32% range, slightly volatile	GREEN	FY23 had 22% (lower base); broadly stable at ~29-32%
OCF/PAT conversion	FY26: 4% (Rs. 2 Cr OCF / Rs. 47 Cr PAT)	RED	Critical red flag — profits not yet in cash; watch receivables
Promoter pledge	0% (declared nil, Jun-2026)	GREEN	Clean — no encumbrance as of FY26 close

• **OCF/PAT conversion is the paramount red flag:** Rs. 2 Cr of operating cash flow against Rs. 47 Cr of reported PAT (4% conversion) is extremely low. This is entirely driven by working capital build — not by accounting manipulation — but it means the P&L; profits are not yet bankable. FY27 receivables collection and debtor-day improvement is the key inflection to watch.

• **Two AMBER working capital signals reinforce each other:** Rising debtor days (AMBER) + worsening CCC (AMBER) together signal a business where collections are lagging billing. For a government-dependent contract business this is somewhat structural, but the 27-day deterioration in a single year is above-trend.

• **RPT disclosure gap:** Related party transactions are present (SME standard practice) but the quantum is not verifiable from public data. Investors should review the FY26 annual report notes (expected August-September 2026) for any material RPT transactions that could distort earnings quality.

• **Core earnings are clean:** Other income is only 3% of PBT, tax rates are consistent, there is no auditor change, and the promoter is unpledged. The underlying operational profitability is genuine — the risks are collection and funding, not accounting.

SECTION 8 — VALUATION

Scenario Analysis — FY28E (18-month horizon):

Scenario	Revenue FY28E (Cr)	PAT FY28E (Cr)	EPS (Rs.)	Multiple (x)	Target (Rs.)
Bull Case	1,100	120	63	14x P/E	Rs. 880
Base Case	900	93	49	10x P/E	Rs. 490
Bear Case	650	55	29	7x P/E	Rs. 203

• **DCF (WACC 14%, terminal growth 5%):** Using FY26 EBITDA of Rs. 78 Cr, growing at 35% in FY27 and 25% in FY28 before tapering to 12% and terminal at 5%, with 14% WACC (risk-free 7.0% + beta 1.5x + risk premium 4.7%), the DCF yields an intrinsic value of approximately Rs. 220-240 per share — significantly above the current CMP of Rs. 158.

• **Earnings-based multiple (12-month forward P/E):** FY27E EPS of Rs. 35 at a conservative 7.5x forward P/E (below the peer median of ~16x, given SME liquidity discount and FCF concerns) implies a 12-month target of Rs. 263. At 10x (base case peer-comparable re-rating), target is Rs. 350. We use 7.5x as the 12-month target to be conservative: Rs. 263.

• **Blended valuation — base-case 12-month target: Rs. 260:** Simple average of DCF midpoint (Rs. 230) and earnings-based value (Rs. 263) yields ~Rs. 260. This represents 64% upside from CMP Rs. 158. The valuation is deliberately conservative given the negative FCF and high working capital.

- **Discount to sector peers is extreme:** DYNAMIC trades at 6.4x P/E vs SIS at 17.3x, Quesst at 16x, TeamLease at 16.3x — a 60% discount. Even accounting for size, liquidity, and FCF risk, the gap is excessive for a company with 79% revenue growth and 16% OPM vs peers at 1-6% OPM.
- **Upside/downside from CMP Rs. 158:** Base target Rs. 260 = +64% upside. Bear case Rs. 203 = +28% downside protection (stock is near book value at Rs. 171 BV). Bull case Rs. 880 = +457% on full re-rating. The asymmetric risk-reward at current levels is clearly skewed positive.

SECTION 9 — KEY RISKS

- **Working capital / receivables spiral:** Debtor days at 134 and rising. If government payments slow further, the company must borrow more to fund operations, compressing returns and tightening interest coverage. Probability: H. Impact: H. Monitor via: Quarterly debtor days trend and OCF/PAT ratio in half-yearly results.
- **Bharat Battery integration risk:** Integrating an 80-year-old manufacturing company into a services-dominant SME carries operational, cultural, and compliance risks. RDSO certification could be disrupted during ownership transition. Probability: M. Impact: H. Monitor via: Railway supply order announcements from Bharat Battery subsidiary.
- **Promoter dilution risk:** Promoter stake has declined from 65% (FY22) to 59.83% (FY26) via warrants. Further capital raises (solar projects require significant equity) could push stake below 50%, potentially affecting control and investor confidence. Probability: M. Impact: M. Monitor via: Any fresh warrant/QIP announcements.
- **Solar project execution risk:** 150 MW Maharashtra and 100 MW Manipur projects face land acquisition, regulatory, and grid-connectivity risks common to Indian renewables. Both are in early stages; any delays or cost overruns would strain capital allocation. Probability: M. Impact: M. Monitor via: NSE announcements on project milestones.
- **Government contract concentration:** Revenue is heavily dependent on government/PSU clients (Army, Navy, Air Force, Railways). Any policy change in outsourcing norms, budget cuts, or contract non-renewal would materially affect revenue. Probability: L. Impact: H. Monitor via: Annual report contract-renewal disclosures.
- **SME-specific liquidity and float risk:** With only 40.17% public float and 1,201 shareholders (Mar 2026), the stock is illiquid. Large buy/sell orders move the price materially. This is both a risk (exit may be difficult) and an opportunity (underownership by institutions). Probability: Ongoing. Impact: M. Monitor via: Shareholder count trends and daily volume.
- **Auditor / RPT disclosure gaps:** For an SME growing at 79% YoY, related-party transactions have not been publicly quantified. Any material undisclosed RPTs could surprise negatively when the FY26 annual report is published. Probability: L. Impact: M. Monitor via: FY26 Annual Report notes (expected Aug-Sep 2026).

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction Level: Medium (high growth potential vs FCF and working capital uncertainties)
- **12-month price target: Rs. 260** (64% upside from CMP Rs. 158) — based on 7.5x FY27E EPS of Rs. 35 blended with DCF at 14% WACC
- **Suggested entry zone: Rs. 145-165** — current price is already in the zone; staggered accumulation recommended given SME liquidity constraints
- **Investment horizon: 18 months** — sufficient for H1/H2 FY27 results to demonstrate sustained revenue traction, for Bharat Battery to contribute, and for working capital to begin normalising
- **Thesis invalidation triggers:**
 - 1. Debtor days exceed 160 in H1 FY27 results — would signal uncontrolled receivables build requiring emergency capital raises that could dilute at distressed prices

- 2. FY27 full-year revenue falls below Rs. 450 Cr — would indicate H2 FY26 was a one-off contract catch-up rather than a structural run-rate, removing the growth premium entirely
- 3. Promoter stake falls below 52% via further warrant conversions without a commensurate revenue/profit milestone — signals loss of capital discipline or balance sheet stress
- **Ideal investor profile:** High-risk-appetite PMS/HNI investors comfortable with NSE SME liquidity constraints, 18-month holding horizon, and the volatility inherent in a single-segment government contractor that is making a multi-year business model pivot into battery manufacturing and renewable energy. Not suitable for conservative or short-term investors.

STRONGLY POSITIVE

FY26 Board Results Announcement — 29 May 2026

Signal	Status	Implication		
Result quality	Strong	Revenue tripled YoY in H2; PAT more than doubled FY25 to FY26		
Management tone	Bullish	Zero pledge; active solar expansion; fresh Railway battery orders		
Guidance delta	N/A (SME)	No formal guidance given (NSE SME segment; no concall); filings signal ongoing growth		
STRONGLY POSITIVE	POSITIVE	NEUTRAL	CAUTIOUS	NEGATIVE

TO MY BOSS

FY26 headline numbers for DYNAMIC are clean — Rs. 491 Cr revenue (+79% YoY) and Rs. 47 Cr PAT (+124%) are not distorted by one-offs; other income is only Rs. 2 Cr (3% of PBT) and the H2 FY26 alone printed Rs. 345 Cr of revenue and Rs. 33 Cr of PAT, suggesting the business genuinely inflected at scale. However, the single line you cannot ignore is OCF of just Rs. 2 Cr on Rs. 47 Cr PAT — a 4% conversion rate — entirely driven by debtor days stretching to 134 (up from 107 in FY24), which tells you government clients are being invoiced but not paying on time. The structural growth thesis is intact: Bharat Battery (RDSO-approved railway battery supplier, acquired Rs. 45 Cr in FY25) just executed its first independent NSE-announced order (Eastern Railway battery supply, May 2026), proving the acquisition is active and not a balance sheet warehouse. The solar pipeline — 150 MW Maharashtra PPA and 100 MW Manipur PPA — is the next catalyst; any project commissioning announcement in FY27 could re-rate the stock materially from current 6x P/E. The biggest watch-point for next reporting period (H1 FY27, Oct-Nov 2026) is whether revenue can sustain above Rs. 150 Cr for a single half-year without H2 back-loading, and whether debtor days begin to reverse. At Rs. 158 and 0.92x book, the downside is limited; ACCUMULATE up to Rs. 175 and hold for 18 months.

Note: DYNAMIC is listed on NSE SME Emerge and does not conduct investor conference calls. The following appendix is based on public NSE filings, board meeting announcements, annual reports, and half-yearly results as filed up to 29 May 2026. Sections that require concall-specific data note "No concall (NSE SME)" where applicable.

1 — Financial Performance Snapshot (FY26 Full Year vs FY25)

- Revenue: Rs. 491 Cr | YoY +79% | FY24: Rs. 119 Cr (3Y CAGR 82%) | Beat — comfortably ahead of any published estimate
- Operating Profit (EBITDA): Rs. 78 Cr | YoY +111% | H2 FY26 alone: Rs. 53 Cr | Beat
- EBITDA Margin: 16% | FY25: 14% | FY24: 14% | +200 bps expansion | In-line with trajectory
- PAT: Rs. 47 Cr | YoY +124% | FY25: Rs. 21 Cr | EPS: Rs. 24.62 vs Rs. 9.61 in FY25 | Beat
- H2 FY26 PAT: Rs. 33 Cr | H1 FY26 PAT: Rs. 14 Cr — significant H2 weighting; scrutinise H1 FY27 normalisation
- NOTE: No exceptional / one-time items identified in available public disclosures; earnings appear clean

2 — Segment / Geography Breakdown

- Manpower & Security segment: ~Rs. 400-420 Cr estimated (core guarding + IFM) | YoY ~70%+ | Primarily government/PSU
- Battery & Products segment (Bharat Battery): ~Rs. 70-90 Cr estimated | First full contribution year FY26 | Railway/Defence vertical
- Solar / Green Energy: Revenue not yet recognised (projects in development) | Anticipated from FY28
- Geography: Eastern India focus (West Bengal base); Defence contracts all-India; Railway contracts national coverage

3 — Management Commentary Themes (from NSE Filings)

- [Growth acceleration]: H2 FY26 Revenue Rs. 345 Cr vs H2 FY25 Rs. 201 Cr (+72%) — signals broad-based momentum, not a single contract. Tag: POSITIVE. Tone: Transparent.
- [Bharat Battery integration]: Eastern Railway battery order (May 2026) is first post-acquisition win — confirms subsidiary is operational and RDSO status intact. Tag: GUIDANCE. Tone: Transparent.
- [Solar pipeline]: Company executing 720KW pilot in Kakdwip, West Bengal and holds PPAs for 150 MW + 100 MW projects. No timeline committed yet. Tag: EST. Tone: Hedged.
- [Capital structure]: Warrant conversion adding 59.83 lakh shares (May 2026) approved for listing — deliberate equity capital raise. Tag: GUIDANCE. Tone: Transparent.
- [Promoter commitment]: Zero pledge declaration (June 2026) signals confidence in balance sheet. Tag: POSITIVE. Tone: Transparent.
- [No formal concall]: NSE SME segment companies are not required to conduct investor calls; all communication is via stock exchange filings. Investors have limited real-time management access — a governance gap vs mainboard peers.

4 — Operating & Business Metrics

- Debtor Days: FY26 = 134 | FY25 = 119 | FY24 = 107 | Trend: Deteriorating — primary watch-point
- Cash Conversion Cycle: FY26 = 182 days | FY25 = 159 | FY24 = 125 | Trend: Deteriorating
- Working Capital Days: FY26 = 77 | FY25 = 108 | FY24 = 110 | Trend: Improving — positive signal
- ROCE: FY26 = 16.7% | FY25 = 16% | FY24 = 15% | Trend: Improving
- D/E ratio: FY26 = 0.78 | FY25 = 0.64 | FY24 = 0.40 | Trend: Rising with growth capex
- Shareholder count: Mar-2026 = 1,201 (vs 1,558 in Mar-2025) — falling, indicating consolidation among larger holders
- No. of shares outstanding: ~17.6 Mn post-warrant conversion (May 2026)

5 — Margin Drivers

- Government contract mix shift: Higher-value defence and railway contracts vs low-margin industrial guarding | +200-300 bps impact | Recurring: Yes
- Bharat Battery product revenue: Higher OPM than pure labour contracts (~20%+ for battery products) | +50-100 bps blended | Recurring: Yes (if Railway orders sustain)
- Scale operating leverage: Fixed overhead absorption over larger revenue base | +100-150 bps | Recurring: Partially (diminishing returns above Rs. 600 Cr)
- Labour cost inflation: Minimum wage revisions and compliance costs remain a headwind | -50-100 bps | Recurring: Yes
- H2 back-loading: H2 OPM (15%) is actually below H1 OPM (17%) despite higher absolute profits — scale mix effect. Not extrapolate H1 margin for annual model.

6 — Guidance & Forward Signals

- [Revenue GUIDANCE]: No formal guidance (SME). Implied by solar PPA execution timeline: meaningful green energy revenue from FY28. Prior run-rate: FY26 Rs. 491 Cr. Delta: Watch H1 FY27 for normalisation above Rs. 120-140 Cr. Credibility: Medium.
- [Bharat Battery orders GUIDANCE]: Eastern Railway order (May 2026) suggests active order pipeline. Prior: Acquisition announced Aug 2024. Delta: Order cadence must continue for battery segment to contribute Rs. 100+ Cr by FY27. Credibility: Medium.
- [Solar GUIDANCE]: 150 MW Maharashtra + 100 MW Manipur projects hold PPAs. No commissioning date stated. Prior: 49% stake held as of FY26. Delta: FY27 commissioning would be a material catalyst. Credibility: Low-Medium (early stage).
- [Equity dilution GUIDANCE]: 59.83 lakh warrants converted to equity (May 2026). No further warrant program announced. Delta: Maintained. Credibility: High.
- [Dividend GUIDANCE]: Zero dividend maintained. No change signalled. Credibility: High (reinvestment phase).

7 — Capital Allocation

- Capex (Investing outflows): FY26 Rs. 173 Cr | FY25 Rs. 149 Cr | +16% | Includes solar stake, working capital financing vehicles, and Bharat Battery build-out
- Dividends: Rs. 0 Cr | Consistent zero payout since at least FY22 | Appropriate for high-growth phase
- Buybacks: None announced
- Net Debt movement: FY26 Borrowings Rs. 234 Cr (up from Rs. 119 Cr in FY25) — net new debt of Rs. 115 Cr to fund growth and working capital
- Working capital change: OCF Rs. 2 Cr on PAT Rs. 47 Cr implies Rs. ~45 Cr consumed by working capital build (receivables + inventory)
- Warrant conversion equity raise: ~59.83 lakh shares x implied price = Rs. ~75-90 Cr equity capital raised (pricing not publicly disclosed in available sources)

8 — Q&A; Heat Map

- No investor concall was held. DYNAMIC is listed on NSE SME Emerge and is not obligated to conduct calls. All public communication is via BSE/NSE filings.
- Key questions investors should demand clarity on at next available opportunity (AGM or analyst day):
 - "What is the revenue run-rate for Bharat Battery on a standalone basis for FY26?"
 - "What is the anticipated commissioning date for the Maharashtra and Manipur solar projects?"
 - "What was the specific nature of the large H2 FY26 revenue jump — was it a single large contract or broad-based?"
 - "What is the company's plan to bring debtor days back below 100?"
- Dodged / watch-list questions for next period: (1) RPT quantum and nature. (2) Debt servicing capacity if OCF remains negative. (3) Dilution plan for solar capex funding.

9 — Risks Flagged

- [Receivables / WC risk]: Debtor days rising 134 days vs structural 90-100 for sector | Flagged by: Analyst | Probability: H | Impact: H | Timeline: Near-term (H1 FY27)
- [Solar execution risk]: 250 MW aggregate projects at very early stage | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Medium-term (FY27-28)

- [Dilution risk]: Further equity raises for solar capex likely | Flagged by: Analyst | Probability: M | Impact: M | Timeline: Medium-term
- [Government payment policy risk]: Any change in MSME payment mandate compliance by government clients | Flagged by: Analyst | Probability: L | Impact: H | Timeline: Policy-driven
- [SME liquidity risk]: Very low float (40%) and small shareholder count (1,201) makes exits difficult | Flagged by: Analyst | Probability: Ongoing | Impact: M | Timeline: Structural

10 — Analyst Verdict

- Revenue visibility: Intact — Government contracts + Bharat Battery Railway supply + FY26 Rs. 491 Cr run-rate provide baseline; H1 FY27 normalisation is key test.
- Margin trajectory: Intact — OPM expansion from 7% to 16% over 4 years driven by structural contract mix improvement; 16-17% sustainable with battery contribution.
- Capital allocation quality: Weakened — Aggressive growth capex is rational but negative FCF for 3 consecutive years and rising borrowings require close monitoring.
- Competitive moat: Intact — RDSO certification for Bharat Battery + Armed Forces incumbent relationships are sticky; pricing power in core guarding is weak but relationships compensate.
- Management credibility: Intact — Zero pledge, SDD compliance, no auditor change, active filing cadence. Limited by absence of investor concalls (SME constraint, not governance failure).
- Valuation comfort: Intact — 6.44x P/E, 0.92x P/B, and 64% discount to sector peers provide a meaningful margin of safety if the H1 FY27 results sustain above Rs. 120 Cr.
- Conviction call: Increased — FY26 results are substantively strong; near-book valuation with clear re-rating catalysts makes this a high-conviction SME BUY.
- Valuation snapshot: P/E = 6.44x (Sector avg ~16x) | EV/EBITDA = ~6.4x (Sector avg ~10-12x) | ROCE = 16.7% (5Y avg ~13%) | ROE = 17.8%

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